24H Business Challenge: Case Study 2026

Preliminary Stage

Strictly private and confidential

Your Task

Colorful Melody (CM), established in 2017, is committed to offering young consumers high-quality, stylish, and personalized beauty products. The brand is built on the concept of 'letting color become a melody of life'. With a low-cost strategy and effective social media marketing, the company has rapidly become a top player in the Chinese makeup market. Their product range encompasses various categories including eyeshadow, lipstick, blush, etc.

In addition to its beauty market development, Colorful Melody has also expanded into the skincare sector. Through brand acquisitions and internal innovation, the company has successfully launched new skincare brands.

It has transitioned from rapid growth to a focus on quality development, continuously refining its makeup business operations and seeking new growth opportunities in skincare. The goal is to ensure the brand's long-term, sustainable growth.

Your group proposal should cover the following analysis:

1. The overall analysis of Colorful Melody's business situation.

2. Based on customer segment positioning, please develop an effective online sales strategy to increase sales growth.

3. What AI technologies/tools can be utilised when developing and executing your online sales strategy?

Key notes for this stage

- The language of the proposal should be in English.
- The proposal should not exceed 15 pages, including the cover, abstract, table of contents, appendices, graphs, etc.

Please see case details on the following pages.

Case Information

Colorful Melody's Financial Performance

The finance department has provided the following table. After reaching its sales peak in 2023, the make-up business faced challenges due to the rapid rise of competition from emerging domestic beauty brands, which have offered a lot of affordable and similar products and adopted the same sales strategy of social media marketing.

Colorful Melody reduced sales and marketing expenses in the make-up segment beginning in 2024 after reviewing the additional income generated by sales expenses, but still increased sales investment in the skincare segment considering that the skincare segment was in the early stage of brand building.

Colorful Melody's financial performance from 2023-2025
(Unit: 100 million RMB)

	2023	2024	2025
Revenue	41	38	36
-- Beauty Make-up (online)	28	22.5	20.1
-- Beauty Make-up (offline)	7	5.5	4.9
-- Skincare (online)	4.2	7.2	7.8
-- Skincare (offline)	1.8	2.8	3.2
Cost of revenues	14.4	12.5	11.9
Gross profit	26.7	25.5	24.1
Operating expenses			
-- Selling and marketing expenses	14.4	12.2	11.9
-- Research and development expenses	0.7	1.1	1.2
Net profit	11.6	12.2	11

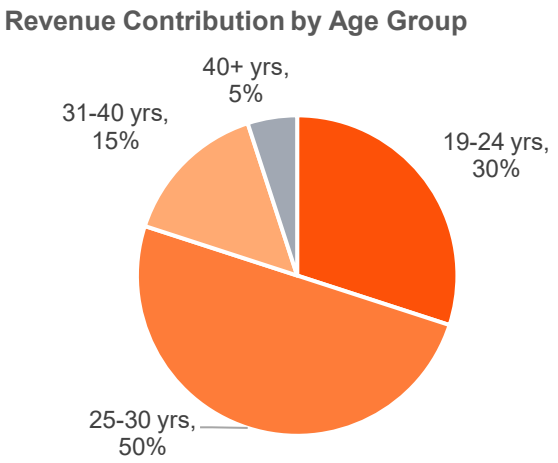
Note: 1) gross profit = revenue - cost of revenues; 2) net profit= gross profit – operation expenses

Colorful Melody's Products and Consumers

➢ Products overview

Category	Brand	Key Products	Positioning	Price Range (CNY)	2025 Revenue	Repeat purchase frequence (months)
Makeup	A	Lipsticks, Lip Glosses, Eyeshadows	High-quality, creative mass makeup	59-199	2.2 billion	6-12
	B	Eyeliner Pens, Mascaras (睫毛膏), Eyeshadows	Trendy makeup brand	39-199	300 million	3-6
Skincare	C	Mandelic Acid Essence (杏仁酸精华) , Repair Essence	Physician-formulated skincare brand	120-250	630 million	<3
	D	Antioxidant (抗氧) VC Essence, Anti-Aging (冻龄) Essence	Dermatological high-end skincare brand	790-1680	180 million	3-6
	E	Cleansing Cream, Purifying Mask	High-end natural spa-level skincare brand	410-2080	290 million	<3

➢ Consumers distribution and consumers feedback through survey



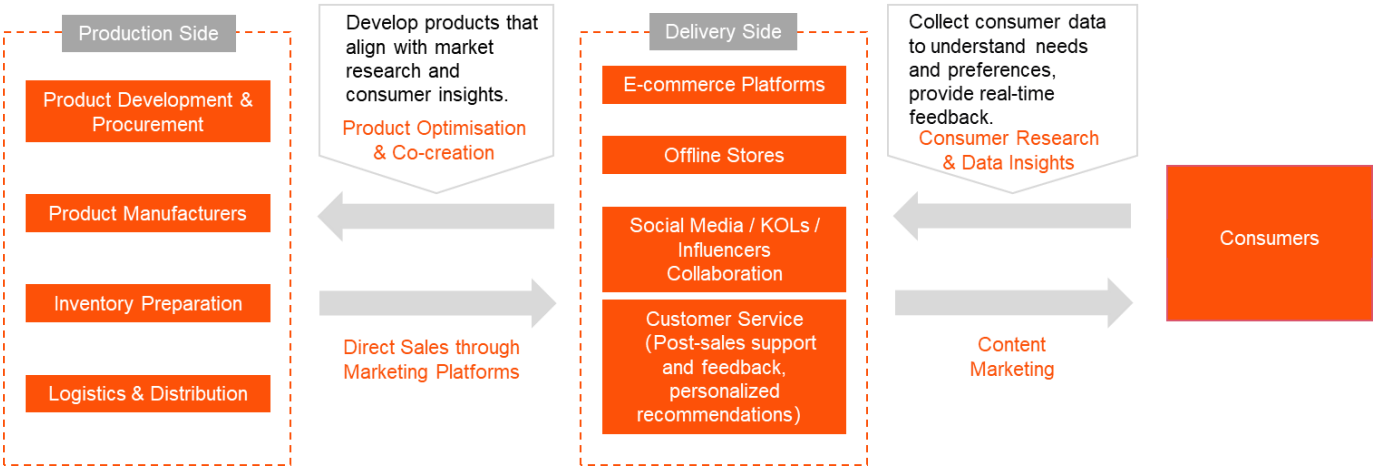
19-24 years old:
- *'Attracted by the cheap price, perfect for a student budget.'*
- *'Many Bloggers are utilising it.'*
- *'The lip glaze tint is really gorgeous and tastes sweet, like candy.'*
- *'Might buy again if I find more attractive colours or limited editions.'*

31-40 years old:
- *'Recommended by a shop assistant, and the colour combination is suitable for all occasions'*
- *'There are very few allergies and the product quality is very consistent.'*

25-30 years old:
- *'The external design feels very sleek and youthful'*
- *'Was recommended on social media, and after buying, I felt like I got a good deal.'*
- *'I like the brand concept and packaging design.'*

40+ years old:
- *'Purchased on a friend's recommendation and felt great after use.'*
- *'The product has a nice texture, and my skin feels more moisturised and refreshed after using it.'*

Direct-to-Consumer (DTC) Model



Benefits of the DTC model

- **Increased profit margins:** removing middlemen and offering more affordable goods.
- **Improved market insight:** communicate with customers directly and act fast to adapt to changes in the market.
- **More robust brand control:** mastery over all facets of brand perception and customer interaction.
- **More effective customer relationship management:** build direct customer relationships, collect feedback and enhance loyalty.

CM's Five-year Strategic Transformation Plan and Key Future Business Initiatives

In order to promote sustainable growth, CM has created a five-year strategic transformation plan for 2023. This strategy intends to create a variety of powerful brands with highly distinctive and useful products. Particular schemes consist of:

Brand Portfolio Diversification: Expanding its brand portfolio in skincare and make-up through acquisitions and launching new brands to cover a wider range of consumer groups and market segments.

Brand Strategy Adjustment: Reposition brand A by upgrading its visual identity and launching new key products to appeal to Gen-Z and millennial consumers.

Investment in Research and Development: Continuously strengthen the investment in R&D to establish a strong new product line. Build R&D centre with functions such as product development, raw material quality testing, formula development, efficacy testing, safety testing, etc..

Online and Offline Integration: Provide an omni-channel(全渠道) shopping experience through the integration of online and offline channels to enhance interaction with consumers and brand loyalty.

Cost Control and Efficiency Improvement: Improvement of operational efficiencies through the implementation of stricter pricing and discounting policies to achieve cost reductions.

Supply Chain Optimisation: Work closely with leading Original Design Manufacturer (ODM)/ Original Equipment Manufacturer (OEM) partners and packaging suppliers; Directly engage in product manufacturing and establish own production facilities. These efforts aim to enhance product quality and reduce costs.

Quality Control & Compliance: Implement a full-scale quality assurance program that covers product design, development, and production. This will make sure our products are safe and of high quality.

Based on the recent 2 years of operations, CM will continue:

- **Balance revenue streams** to support the development of skincare brands, **remodel the business model** for makeup brands, and **invest in R&D** to establish a robust new product line.
- **Cost reduction** through stricter pricing and discount policies, optimising the supply chain, and enhancing operational efficiency.

Market Insights

The project team has already conducted research on market insights for reference purposes.

Top 10 Product Types within the Annual Sales of Makeup & Skincare				
	Makeup		**Skincare**	
1	Liquid Foundation	13%	Facial Care Sets (Serum/Lotion/Cream)	27%
2	Lipstick/Lip Color	12%	Facial Essence	16%
3	Lip Gloss/Lip Balm/Lip Lacquer	12%	Facial Masks	12%
4	Makeup Sets	7%	Lotion/Cream	12%
5	Setting Powder (散粉)	7%	Eye Care	6%
6	Primer (隔离霜)	6%	Cleansing	5%
7	BB Cream	4%	Toner/Astringent(爽肤水)	4%

8	Eyeshadow	4%	Sunscreen	4%
9	Eyebrow Pencil/Eyebrow Powder/Eyebrow Gel	3%	Body Care	3%
10	Eyeliner	3%	Makeup Remover	3%

Key Factors for Chinese Consumers to Purchase Cosmetics		
Ranking	**Key Factor**	**Description**
1	Safety	Over 70% of consumers prioritize safety as the primary condition when choosing cosmetics.
2	Effects (功效）	66% of consumers pay attention to whether cosmetics claim to have any specific effects.
3	Branding	60% of consumers will opt to purchase from cosmetic brands that they are familiar with.

New trends found in the industry:

- Domestic brands won >50% market share in 2025 and are setting new standards for fashion.
- Online channel traffic growth has plateaued, and the focus is shifting to offline channels for growth.
- Riding the AI wave, AI offers intelligent diagnostic skincare solutions.
- Cosmetics industry regulation tightens, leading to high-quality development.

Meeting Summary of Colorful Melody's Marketing Department

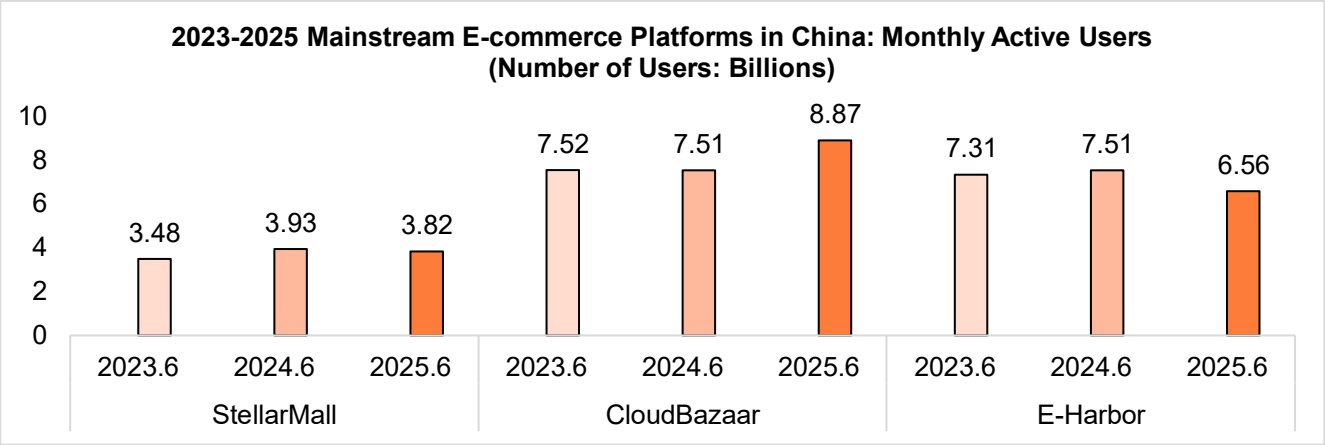
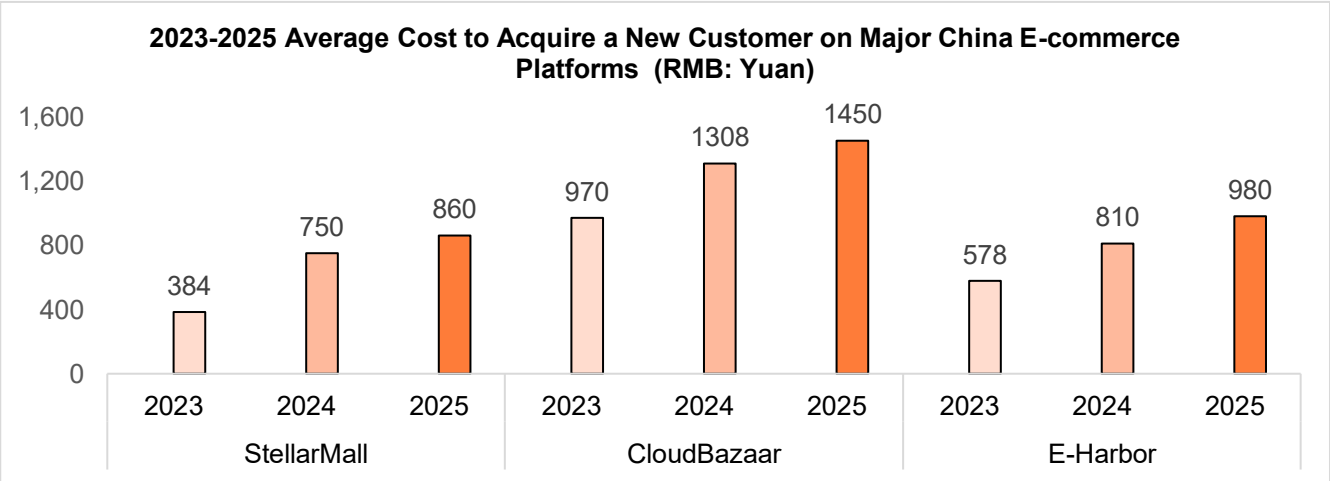
In the face of the decline of the makeup business, Marketing Department have conducted an internal meeting to review marketing strategies, below is the meeting summary.

The key factors that previously contributed to the high sales of the makeup business:

- Appropriate product pricing and high cost-performance ratio (高性价比);
- Innovative products or ingredients as selling points;
- Visual marketing and figurative scenarios (e.g. eye-catching color) to enhance attractiveness;
- Rapid exposure and traffic promotion through celebrity and KOL promotion, creative content, and IP collaboration;
- Driving traffic to online e-commerce platforms to convert into product sales, or using live broadcasting for product sales;

- A fast-responsive supply chain to provide product delivery.

Challenge:

- In terms of traffic acquisition, due to the rise of a large number of emerging brands, traffic competition is very fierce. Relying on increasing marketing investment to obtain traffic and sales growth is no longer feasible.
- Evolving consumer preferences and increased scrutiny on influencer marketing have highlighted, forcing CM a reduction in reliance.

E-commerce Platform Traffic and Customer Acquisition Cost